

“I used your simulator to scan charts and didn't like what I saw. I looked for a horizontal move followed by a big W.”

He was referring to my Patternz software (available for free on my website at www.ThePatternSite.com), which has a trading simulator built into it. It will advance to a chart pattern and then play back price at the speed of your choice.

“I saw setup after setup which didn't work so I decided not to trade the stock. Sometimes the best trade you can make is none at all.”

However, another setup is similar to this situation. Imagine the same setup with price forming a top, moving sideways (D), and dropping to a chart pattern (a big W or other type of chart pattern). Price does its thing, and the stock eventually climbs to close above H (the high point in the horizontal D move). That's the time to buy. I describe this setup at <http://thepatternsite.com/CPSetup.html> (Note: case is important).

In [Figure 7.4](#), price broke out upward from the big W (a close above B) the day before E. That confirmed the big W as a valid chart pattern. Then price stalled as if the bulls were afraid of attacking overhead resistance set up by the sideways move at D.

The stock collapsed, and when price closed below the bottom of the big W, at F, it busted the upward breakout. The stock recovered to poke its head above 13, but moved lower to bottom at 8.11 in December. Had John bought at the breakout price and sold at the ultimate low, he would have lost 36%, not including commissions and fees. He made the right decision to walk away from this trade.